

INTERNATIONAL BUSINESS (IBM-N)

Software & IT Services / Software & IT Services / IT Services & Consulting

COMPANY IN CONTEXT REPORT

Report Date: 2026-Jul-01

Last Close 281.21 (USD)	Avg Daily Vol 11.4M	52-Week High 332.46	Trailing PE 24.9	Annual Div 6.76	ROE 35.9%	LTG Forecast 7.0%	1-Mo Return -5.6%
2026 June 30 NEW YORK Exchange	Market Cap 255.3B	52-Week Low 212.34	Forward PE 22.4	Dividend Yield 2.4%	Annual Rev 68.9B	Inst Own 65.5%	3-Mo Return 16.0%

VERUS OPINION



The Verus Opinion, provided by Verus Analytics Inc, is an empirically-derived and historically back-tested stock rating system with buy, hold, and sell opinions. To develop a rating, the quantitative system analyzes a company's earnings quality, balance sheet, and income statement, conducts technical and valuation analysis and evaluates the transactions made by the firm's management and directors (i.e. insiders).

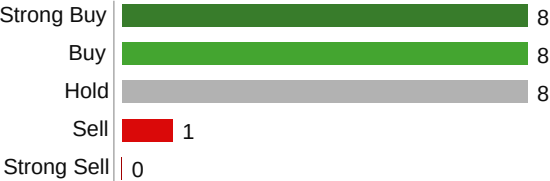
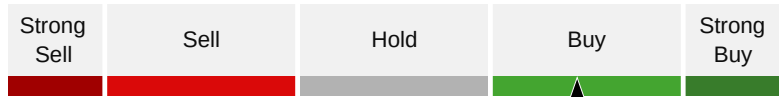
The Verus Opinion covers 4317 companies, with 16.2% rated Buy, 66.5% rated Hold, and 17.3% rated Sell as of 2026-06-26. Verus Analytics Inc is a private independent research firm, unaffiliated with Refinitiv, that specializes in engineering institutional ratings systems.



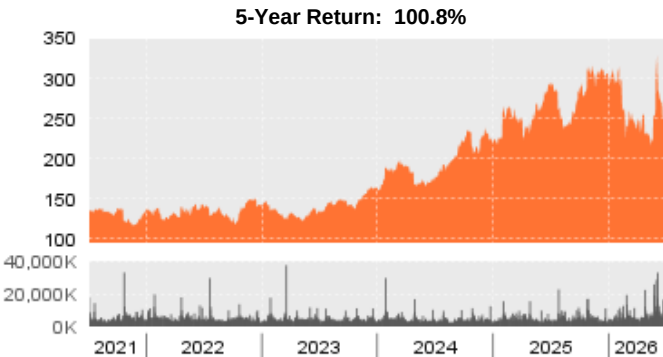
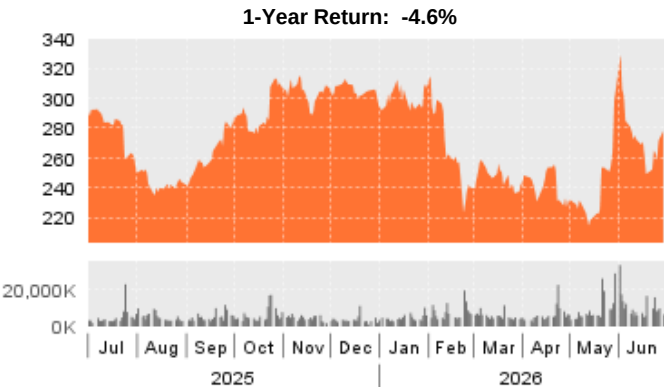
I/B/E/S MEAN

Buy
25 Analysts

Mean recommendation from all analysts covering the company on a standardized 5-point scale.



PRICE AND VOLUME CHARTS



BUSINESS SUMMARY

International Business Machines Corporation is a provider of global hybrid cloud and artificial intelligence (AI) and consulting expertise. The Company's segments include Software, Consulting, Infrastructure and Financing. The Software segment includes hybrid cloud and AI platforms, which allow clients to realize their digital and AI transformations across the applications, data, and environments in which they operate. The Consulting segment focuses on integrating skills on strategy, experience, technology and operations by domain and industry. The Infrastructure segment is focused on the hybrid cloud infrastructure market, providing on-premises and cloud-based server and storage solutions. In addition, it offers a portfolio of life-cycle services for hybrid cloud infrastructure deployment. The Financing segment provides client and commercial financing, facilitating its clients' acquisition of hardware, software and services. It helps clients in more than 175 countries.

INTERNATIONAL BUSINESS (IBM-N)

Software & IT Services / Software & IT Services / IT Services & Consulting

COMPANY IN CONTEXT REPORT

Report Date: 2026-Jul-01

PEER ANALYSIS

Currency in USD

		PRICE MOMENTUM					VALUATION		FUNDAMENTAL		ANALYSTS		
Verus Opinion	Ticker	Price 2026-06-30	1-Mo Return	3-Mo Return	1-Yr Return	Market Cap	Trailing PE	Forward PE	Dividend Yield	Net Margin	LTG Forecast	I/B/E/S Mean	# of Analysts
Sell	MSFT	373.02	-17.2%	0.77%	-25.0%	2.8T	22.2	20.1	0.98%	39.3%	16.9%	Buy	62
Hold	AMZN	238.34	-11.9%	14.4%	8.6%	2.5T	28.5	28.3	--	12.2%	20.5%	Buy	70
Hold	GOOGL	357.37	-6.0%	24.3%	102.8%	2.0T	27.3	28.7	0.25%	37.9%	16.9%	Buy	62
Hold	CSCO	117.46	-2.5%	51.4%	69.3%	448.4B	38.2	25.0	1.4%	19.7%	10.8%	Buy	27
Hold	ORCL	146.55	-35.1%	-0.38%	-33.0%	427.8B	25.2	18.2	1.4%	25.4%	25.9%	Buy	43
Hold	IBM	281.21	-5.6%	16.0%	-4.6%	255.3B	24.9	22.4	2.4%	15.6%	7.0%	Buy	25
Sell	PANW	341.02	21.1%	112.7%	66.6%	247.9B	279.5	87.4	--	7.9%	13.3%	Buy	57
Buy	DELL	431.46	2.5%	162.9%	252%	129.9B	34.3	23.3	0.58%	6.3%	40.7%	Buy	28
Hold	CRM	156.66	-18.0%	-16.1%	-42.6%	129.7B	18.1	11.2	1.1%	18.7%	15.3%	Buy	53
Buy	ACN	124.44	-33.5%	-37.2%	-58.4%	78.9B	9.9	8.7	5.2%	10.7%	7.3%	Buy	28
Buy	HPE	45.11	4.8%	89.5%	120.6%	57.9B	42.2	11.7	1.3%	4.0%	31.8%	Buy	23
Average		237.51	-9.2%	38.0%	41.5%	820.4B	50.0	25.9	1.6%	18.0%	18.8%	Buy	43.5

PEER COMPANIES

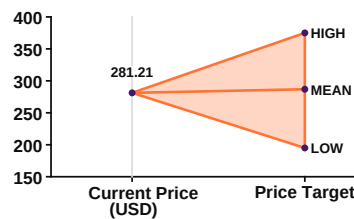
ACN	Accenture	GOOGL	Alphabet Inc
AMZN	Amazon.com Inc	HPE	Hewlett Packard Enterprise Co
CRM	Salesforce Inc	MSFT	Microsoft Corp
CSCO	Cisco Systems Inc	ORCL	Oracle Corp
DELL	Dell Technologies Inc	PANW	Palo Alto Networks Inc

EARNINGS HIGHLIGHTS

- IBM's current quarter consensus estimate has remained relatively unchanged over the past 90 days at 3.02. Estimates within its industry have moved an average of -1.0% during the same time period.

PRICE TARGET

The chart indicates where analysts predict the stock price will be within the next 12 months, as compared to the current price.



12-Month Price Target

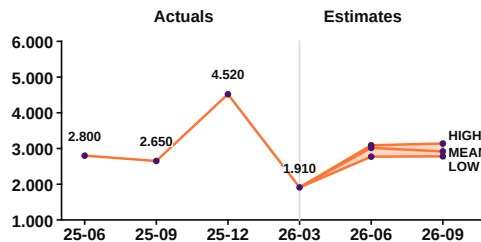
Mean (USD)	286.86
High	375.00
Low	195.00
Target vs. Current	2.0%
# of Analysts	22

EARNINGS PER SHARE

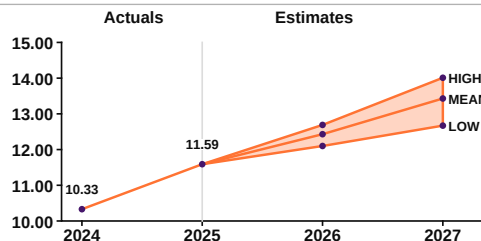
Currency in USD

Earnings per share (EPS) is calculated by dividing a company's earnings by the number of shares outstanding. Analysts tend to interpret a pattern of increasing earnings as a sign of strength and flat or falling earnings as a sign of weakness.

The charts provide a comparison between a company's actual and estimated EPS, including the high and low forecasts.



Quarterly	26-06	26-09
Mean	3.018	2.916
High	3.090	3.140
Low	2.771	2.780
# of Analysts	16	16



Annual	2026	2027
Mean	12.430	13.430
High	12.690	14.010
Low	12.100	12.670
# of Analysts	22	22

INTERNATIONAL BUSINESS (IBM-N)

Software & IT Services / Software & IT Services / IT Services & Consulting

COMPANY IN CONTEXT REPORT

Report Date: 2026-Jul-01

ANALYST REVISIONS

Last 120 Days		Last 30 Days	
# Broker Upgrades	5	# Up Revisions	1
# Broker Downgrades	0	# Down Revisions	0
		Avg Up Revisions	4.0%
		Avg Down Revisions	0.00%

MEAN ESTIMATE TREND

	Q 26-06	Q 26-09	Y 2026	Y 2027	Price Target
Current	3.018	2.916	12.430	13.430	286.86
30 Days Ago	3.033	2.916	12.430	13.460	275.43
90 Days Ago	3.032	2.884	12.360	13.390	305.00
% Change (90 Days)	-0.50%	1.1%	0.60%	0.30%	-5.9%

Next Expected Report Date: 2026-07-22

EARNINGS SURPRISES

Comparing a company's actual earnings to the mean expectation of analysts results in a difference referred to as a 'positive' or 'negative' surprise. Research has shown that when a company reports a surprise, it is often followed by more of the same surprise type.

Surprise Summary (Last 12 Quarters)

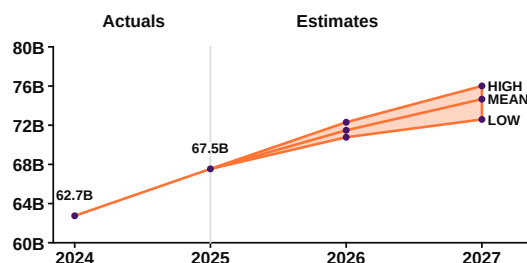
Surprise Type	Amount	Percent
Positive Quarters (> 2%)	12	100.0%
Negative Quarters (< -2%)	0	--
In-Line Quarters (within 2%)	0	--

Surprise Detail (Last 6 Periods)

Surprise Type	Announce Date	Period End Date	Actual EPS	Mean EPS	Surprise (%)
Positive	2026-04-22	2026-03-31	1.910	1.806	5.8%
Positive	2026-01-28	2025-12-31	4.520	4.320	4.6%
Positive	2025-10-22	2025-09-30	2.650	2.446	8.3%
Positive	2025-07-23	2025-06-30	2.800	2.643	5.9%
Positive	2025-04-23	2025-03-31	1.600	1.402	14.1%
Positive	2025-01-29	2024-12-31	3.920	3.747	4.6%

ANNUAL REVENUE

A pattern of increasing sales in conjunction with a rising EPS may influence a buy recommendation, while flat or falling sales and faltering earnings may explain a sell recommendation. A rising EPS with flat or falling sales may result from increased cost efficiency and margins, rather than market expansion. This chart shows the sales forecast trend of all analysts and the highest and lowest projections for the current and next fiscal year.



	2026	2027
Mean	71.5B	74.7B
High	72.3B	76.0B
Low	70.8B	72.6B
Forecasted Growth	5.8%	10.5%
# of Analysts	22	22

FUNDAMENTAL HIGHLIGHTS

- The company's gross margin has been higher than its industry average for each of the past five years.
- The company's debt-to-capital has been higher than its industry average for each of the past five years.
- The company's days sales in receivables has been higher than its industry average for each of the past five years.
- Of the 156 firms within the IT Services & Consulting industry, International Business is among 23 companies that pay a dividend. The stock's dividend yield is currently 2.4%.

FUNDAMENTAL METRICS

Profitability			Debt			Dividend		
	IBM	Industry Avg		IBM	Industry Avg		IBM	Industry Avg
Revenue Growth	9.7%	7.8%	Current Ratio	0.8	1.4	Div. Growth Rate	0.6%	5.4%
For year over year ending 2026-03			For interim period ending 2026-03			For year over year ending 2026-03		
Gross Margin	56.4%	40.2%	Debt-to-Capital	62.6%	15.3%	Dividend Payout	53.6%	32.9%
For latest 12 months ending 2026-03			For annual period ending 2025-12			For latest 12 months ending 2026-03		
Return on Equity	35.9%	6.2%	Interest Funding	15.9%	2.4%	Dividend Coverage	2.6	4.5
For interim period ending 2026-03			For interim period ending 2026-03			For annual period ending 2025-12		
Net Margin	15.6%	4.5%	Interest Coverage	3.9	3.3	Current Div. Yield	2.4%	0.00%
For latest 12 months ending 2026-03			For interim period ending 2026-03			For latest 12 months ending 2026-06		



INTERNATIONAL BUSINESS (IBM-N)

Software & IT Services / Software & IT Services / IT Services & Consulting

COMPANY IN CONTEXT REPORT

Report Date: 2026-Jul-01

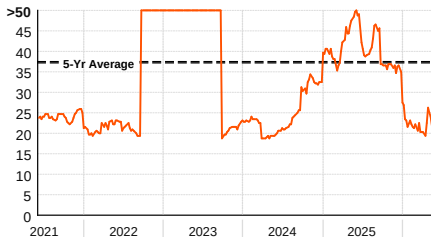
RELATIVE VALUATION HIGHLIGHTS

- IBM's Forward PEG of 3.2 represents a 4% Premium to its 5-year average of 3.1.
- Based on Forward P/E, IBM currently trades at a 16% Premium to its IT Services & Consulting industry peers. On average, the company has traded at a 33% Discount over the past five years.
- IBM's 24.9 Trailing P/E is currently at the low end of its 5-year range (lowest 18.8 to highest 100.0).

TRAILING PE

The most recent week's close price divided by the sum of the four most recently reported quarterly earnings.

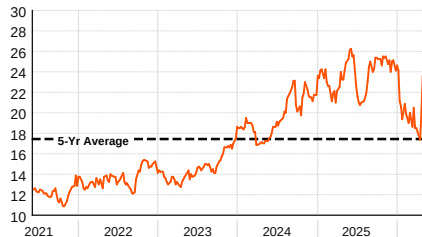
Trailing PE 24.9
5-Year Average: 37.5
S&P 500 Index Average: 28.9
Industry Average: --



FORWARD PE

The most recent week's close price divided by the sum of the four upcoming quarterly consensus estimates.

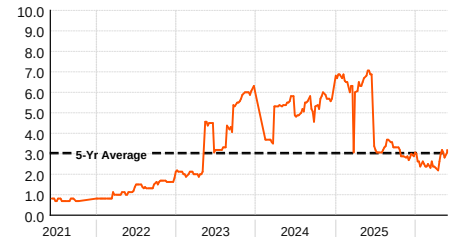
Forward PE 22.4
5-Year Average: 17.5
S&P 500 Index Average: 21.3
Industry Average: 19.4



FORWARD PEG

The Forward P/E divided by the five-year forecasted growth rate.

Forward PEG 3.2
5-Year Average: 3.1
S&P 500 Index Average: 1.4
Industry Average: 1.2



RISK HIGHLIGHTS

- On days when the market is up, IBM tends to underperform versus the S&P 500 index. Also, on days when the market is down, the shares generally decrease more than the index.
- In the short term, IBM has shown low correlation (≥ -0.1 and < 0.2) with the S&P 500 index. The stock has, however, shown average correlation (≥ 0.2 and < 0.4) with the market in the long term.
- Over the last 90 days, IBM shares have been more volatile than the overall market, as the stock's daily price fluctuations have exceeded that of 88% of S&P 500 index firms.

RISK ANALYSIS

Peers	Last 90 Days					Last 60 Months	
	Best Daily Return	Worst Daily Return	# Days Up	# Days Down	Largest Intra-Day Swing	Best Monthly Return	Worst Monthly Return
IBM	12.7%	-8.3%	33	30	9.3%	16.4%	-18.3%
ACN	6.9%	-18.0%	26	36	7.7%	16.0%	-24.3%
CRM	9.7%	-8.7%	25	38	7.4%	26.7%	-20.5%
MSFT	5.7%	-4.2%	30	33	5.7%	16.5%	-18.3%
ORCL	12.7%	-9.6%	30	33	11.0%	32.1%	-28.1%
S&P 500	2.5%	-2.6%	38	24	3.3%	10.4%	-9.3%

RISK METRICS

Magnitude of Returns		Volatility		Beta (1-Year)		Correlation	
Daily Returns (Last 90 Days)		Standard Deviation		Beta vs. S&P 500		Correlation vs. S&P 500	
Best	12.7%	Last 90 Days	3.48	Beta vs. S&P 500	0.96	Correlation vs. S&P 500	
Worst	-8.3%	Last 60 Months	7.50	Positive Days Only	0.19	Last 90 Days	14%
				Negative Days Only	1.23	Last 60 Months	36%
Monthly Returns (Last 60 Months)		Intra-Day Swing (Last 90 Days)		Beta vs. Group		Correlation vs. Group	
Best	16.4%	Average	3.4%	Beta vs. Group	0.81	Correlation vs. Group	
Worst	-18.3%	Largest	9.3%	Positive Days Only	0.80	Last 90 Days	61%
				Negative Days Only	1.00	Last 60 Months	25%

PRICE ANALYSIS

Relative Strength Indicator (scale 1-100, 100 is best)

	IBM	Industry Avg
Last 10 Days	61	43
Last 50 Days	54	47
Last 200 Days	51	48

SEASONALITY

Average Monthly Return (Last 10 Years)

	Jul	Aug	Sep
Company Avg	0.91%	-1.2%	2.3%
Industry Avg	2.1%	0.66%	-1.1%
Industry Rank	96 of 129	38 of 129	64 of 129

INTERNATIONAL BUSINESS (IBM-N)

Software & IT Services / Software & IT Services / IT Services & Consulting

COMPANY IN CONTEXT REPORT

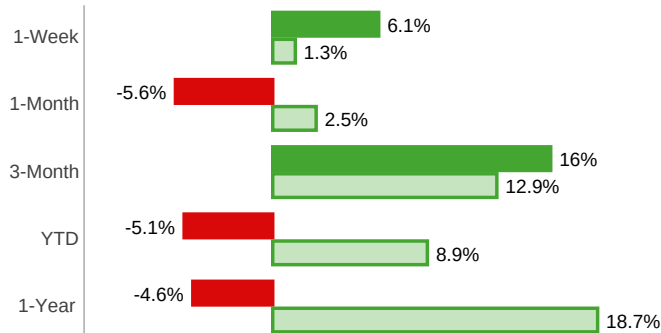
Report Date: 2026-Jul-01

PRICE PERFORMANCE

Currency in USD

Daily close prices are used to calculate the performance of the stock as compared to a relevant index over five time periods.

IBM
DJIA



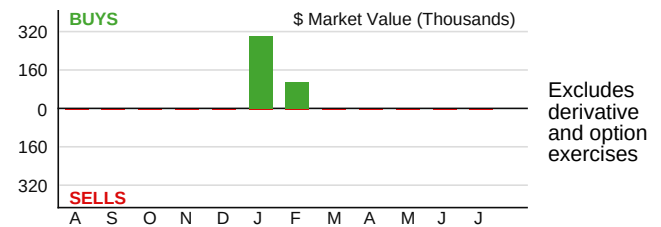
	IBM	DJIA
Close Price (2026-06-30)	281.21	52,320
52-Week High	332.46	52,319
52-Week Low	212.34	43,589

- On 2026-06-30, IBM closed at 281.21, 15.4% below its 52-week high and 32.4% above its 52-week low.
- IBM shares are currently trading 10.8% above their 50-day moving average of 253.89, and 2.4% above their 200-day moving average of 274.56.
- The DOW JONES INDUSTRIAL index is currently trading at its 52-week high of 52320.

INSIDER TRADING HIGHLIGHTS

- Executives at International Business have not purchased or sold any shares thus far this quarter. Over the past five years, the average purchase and sell totals for Q3 have been \$25,000 and \$0 respectively.

MONTHLY BUYS AND SELLS



MOST RECENT BUYS AND SELLS

Insider buys and sells with the most recent transaction dates during the last 90 days.

Name	Role	Tran Date	Tran Type	Shares	Market Value
------	------	-----------	-----------	--------	--------------

There are no insider transactions during this time period.

TOP INSTITUTIONAL HOLDERS

The top five institutional holders based on the total number of shares held.

Institution	Inst. Type	% O/S	Shares Held	Reported Date
Vanguard Capital	Inv Mgmt	6.5%	60.8M	2026-03-31
State Street Investment	Inv Mgmt	5.8%	54.6M	2026-03-31
BlackRock Institutional	Inv Mgmt	5.4%	50.7M	2026-03-31
Vanguard Portfolio	Inv Mgmt	2.9%	27.7M	2026-03-31
Geode Capital Management	Inv Mgmt	2.5%	23.1M	2026-03-31

Updated daily as of 2026-07-01

TOP EXECUTIVE HOLDERS

The top five insider holders based on the total number of direct holdings. Indirect holdings are excluded.

Insider Name	Role	# Direct Shares	Value	Reported Date
Krishna, Arvind	CEO	0.37M	92.6M	2026-02-20
Kavanaugh, James J.	CFO	0.18M	43.7M	2026-02-20
Cohn, Gary D	O	0.11M	27.5M	2026-02-20
Thomas, Robert David	O	72,800	18.1M	2026-02-20
Lamoreaux, Nickle Jaclyn	O	56,755	14.1M	2026-02-20

Updated monthly as of 2026-06-21

INTERNATIONAL BUSINESS (IBM-N)

Software & IT Services / Software & IT Services / IT Services & Consulting

COMPANY IN CONTEXT REPORT

Report Date: 2026-Jul-01

REPORT TIPS

The Company in Context Report provides a comprehensive company analysis based on market data from LSEG and a proprietary rating from Verus Analytics. The report is updated daily, although the ratings are updated weekly.

Peer Analysis

- The Peer Analysis section of the report compares the company to up to ten of its closest peers. The peers are selected based on competitors data from the company's annual reports, the number of cross-over analysts with recommendations on both companies, and the same industry classifications.
- The Reference data Business Classification (TRBC) schema is used for industry comparisons. It is designed to group together correlated companies that offer products and services into similar end markets.

Highlights

The automated text-generation system from LSEG creates highlights summarizing the most noteworthy data. The bullets will vary by company and will change from week to week as different criteria are met.

Earnings**Earnings Per Share**

The quarterly and annual earnings per share are presented when available, along with the mean, high and low. Quarterly data is displayed for the past 4 quarters (actual) and the next 2 quarters (estimated). Annual data is displayed for the past 2 years (actual) and the next 2 years (estimated).

Mean Estimate Trend

The mean estimates show how the consensus has changed over the past 30 days and 90 days for the upcoming two quarters and two years. The percentage change is calculated for the company as a means for comparison by measuring the difference between the current consensus estimate and that of 90 days ago.

Earnings Surprises

The surprise summary includes the total number of quarters (and percentage) in the past 12 quarters in which earnings surprises were positive, negative, or in-line. In order to be recognized as a positive or negative surprise, the percent must be greater than 2% above or 2% below the consensus, respectively.

Fundamental**Profitability**

- Revenue Growth: (Net Sales - Previous Net Sales) / Previous Net Sales
- Gross Margin: Gross Profit / Net Sales
- Return on Equity: Net Income / Total Equity
- Net Margin: Net Profit / Net Sales

Debt

- Current Ratio: Current Assets / Current Liabilities
- Debt-to-Capital: Total Debt / Total Capital
- Interest Funding: Interest Expense / Operating Cash Flow
- Interest Coverage: (Pre-Tax Income + Interest Expense) / Interest Expense

Dividend

- Dividend Growth Rate: (Dividends per Share - Previous Dividends per Share) / Previous Dividends per Share
- Dividend Funding: Dividends / Operating Cash Flow
- Dividend Coverage: (Pre-Tax Income + Interest Expense) / (Interest Expense + Dividends)
- Dividend Yield: Annual Dividends per Share / Current Market Price per Share

Relative Valuation

A discount occurs when the company's ratio is valued more favorably (lower) than that to which it is compared.

Valuation Averages

Negative values are excluded when calculating the averages. A maximum value of 100 is placed on Trailing P/E and Forward P/E, and a maximum value of 5 is placed on Forward PEG when calculating the averages.

Risk**Magnitude of Returns**

The best / worst daily returns in the past 90 days and the best / worst monthly returns in the past 60 months.

Volatility

The standard deviation of the stock price over the last 90 days and last 60 months, along with the average and largest intra-day stock swing.

Beta

Measures the tendency of a security's returns to respond to swings in the market, based on the beta of the company versus the relevant index.

Correlation

Determines how closely the returns of the stock and the relevant index move together, measured over the last 90 days and last 60 months.

Price Momentum**Relative Strength**

Measures the speed and change of price movements. A value above 70 may be overbought while a value below 30 may be oversold.

Seasonality

The average monthly return for the current month and next 2 months for the company and industry, over the past 10 years. A lower industry rank indicates a higher return.

Insider Trading**Monthly Buys and Sells**

The total market value of open-market buying and selling is displayed by month for easy comparison. Transactions by trusts and corporations are excluded, along with buys greater than \$10 million and sales greater than \$50 million.

Institutional Holders

The top five institutional holders of the company are listed in descending order, based on their total share holdings. Possible values for the institution type include Brokerage, Funds, Inv Mgmt, or Strategic.

Executive Holders

The top five executive insiders of the company are listed in descending order, based on their total direct common share holdings (options are not considered). Indirect holdings are excluded, as the owner may not actually have investment discretion over these shares. Insiders who have not filed any transactions or holdings over the past two years are excluded, as the individual may no longer be associated with the company. Direct shares held must be greater than 1,000 to be considered.

Insider Roles

AF - Affiliate	IA - Investment Advisor
AI - Affiliate of Advisor	MC - Member of Committee
B - Beneficial Owner	O - Officer
C - Controller	OB - Officer / Beneficial Owner
CB - Chairman	OD - Officer / Director
CEO - Chief Executive Officer	OE - Other Executive
CFO - Chief Financial Officer	OS - Officer of Subsidiary
CI - Chief Investment Officer	OT - Officer / Treasurer
CO - Chief Operating Officer	OX - Divisional Officer
CT - Chief Technology Officer	P - President
D - Director	R - Retired
DO - Director / Beneficial Owner	SH - Shareholder
EVP - Exec Vice President	SVP - Senior Vice President
FO - Former	T - Trustee
GC - General Counsel	UT - Unknown
H - Officer / Director / Owner	VP - Vice President

VERUS ANALYTICS

Verus Analytics, Inc is a private firm specializing in engineering rating systems for institutional clients, wealth managers and self-directed investors. They also provide proprietary ratings of earnings quality, fundamental and valuation elements directly to institutional clients. Verus Analytics (previously Camelback Research Alliance, Inc and the quantitative business unit of Gradient Analytics, Inc) was founded in 1996 by two former tenured professors, Dr. Carr Bettis and Dr. Donn Vickrey. Today the core team consists of financial engineers, business analysts and technology personnel. Verus Analytics does not engage in investment banking services.

DISCLAIMER

© 2026 LSEG. Republication or redistribution of LSEG content, including by framing or similar means, is prohibited without the prior written consent of LSEG. All information in this report is assumed to be accurate to the best of our ability. LSEG is not liable for any errors or delays in this content, or for any actions taken in reliance on such content. Any forward-looking statements included in the LSEG content are based on assumptions and are subject to a number of risks and uncertainties that could cause actual results to differ materially from current expectations. There is no assurance that any forward-looking statements will materialize. The content in this LSEG report does not constitute investment advice or a recommendation to buy or sell securities of any kind. Past performance is not a guarantee of future results. Investors should consider this report as only a single factor when making an investment decision. Verus Analytics Inc. is a private independent research firm, unaffiliated with LSEG, and is solely responsible for the Verus Opinion. The Verus Opinion contained herein is solely attributable to Verus Analytics Inc. and is not endorsed or approved by LSEG.

